In a Waterfall, Sequence Is Arithmetic

Prepared for Royalty Review Council. Fictional example, published synthetic fixture modeled on documented webtoon industry practice.

The problem

Distribution fee, expenses, recoupment, participation: in a waterfall, each step takes its cut of what the previous step left. A step that says only a percentage is under-specified. It also needs its base (the gross, or the remainder after a named earlier step) and its position in the sequence. The same percentages in a different order pay different people, which is why participation disputes are usually about order, not rates.

One episode, gross	Base	Amount (won)
Episode price	Sale	200.00
App store fee, 30 percent	Gross	60.00
Platform share, 50 percent	Remainder 140	70.00
Content provider, 35 percent	Remainder 70	24.50
Creator pool	Remainder	45.50

Run the same percentages in a different order and the creator pool moves. Nothing about the rates changed. Only the sequence did, and no paragraph of percentages in a contract can settle which sequence a spreadsheet actually used.

The same example in RevRule

A RevRule Revenue Graph is the waterfall written down as an ordered rule set: each step names its base and its rate, recoupment steps carry their balances as engine state, and effective-dated versions handle amendments without rewriting settled history.

Creator pool split	Share	Amount (won)
Writer	60 percent of pool	27.30
Artist	30 percent of pool	13.65
Assistant	10 percent of pool	4.55
Creators after 4.9 percent withholding presentation	Combined net	43 won

Across a 60-episode run, the engine ledger matched the hand calculation exactly at every step, hash chain valid. A second fixture recouped a minimum guarantee advance out of the provider's share across 40 episodes until it cleared. Every event records the input, each step's output, and the remainder passed down, so a participant with the rule set can recompute any single event.

For a cross-media royalty department, that is one calculation layer under music, publishing, film, and game participations alike. RevRule does not hold funds, execute payments, or administer statutory rights.

Full product details: https://payloadhq.github.io/revrule.html